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Re: Proposal to Allow Optional Semiannual Reporting - File S7-2026-15

Dear Chairman Atkins,

I submit this letter in response to the Commission proposed amendments to Exchange Act Rules 13a-13 and 15d-13, which would permit issuers registered with the SEC to elect to file semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q. I am a Professor of Accounting at the University of Oxford. I write as a scholar who has extensively studied mandatory and voluntary disclosure and auditing in U.S. capital markets. In this letter, I offer insights drawn from academic research to help inform the economic analysis of the proposed amendment.

Unlike many comments in the public debate, the question at stake is not whether investors in public companies should receive financial statements every quarter, but rather whether the Commission should impose a fixed reporting frequency on issuers. There is a longstanding scholarly debate concerning the necessity of mandatory disclosure in capital markets. Although this debate extends beyond the specific questions raised by the proposed amendment to the Exchange Act Rules, it remains relevant to the present inquiry. The central argument to justify a disclosure mandate is the presence of a market failure. Two types of market failure are often cited: (1) market forces may be insufficient to resolve the information asymmetry between public issuers and investors; and (2) information disclosure generates externalities, such that the amount of disclosure produced through market forces falls below the level that would be optimal for the market (or society) as a whole.

Below, I provide some observations about the limited evidence to support these two sources of market failure and discuss them in the context of the proposed amendments. I conclude my letter with some comments on the potential benefits of this proposed amendment to make quarterly reporting optional.

(1) Disclosure mandates are necessary to resolve the information asymmetry between the issuers and their investors so the Commission should maintain the universal quarterly reporting frequency for issuers registered with the SEC.

This argument rests on two pillars: (i) insiders possess private information about a company’s economic performance that is relevant to investors; and (ii) insiders fail to disclose this information voluntarily and in a timely manner to investors. While the first point is widely accepted, the second is far more debatable. In fact, several theoretical studies in information economics from the 1980s suggest that, under certain assumptions, economic agents will eventually reveal their private information.¹ The intuition is straightforward: if an agent withholds information, market participants may interpret this nondisclosure as a negative signal, leading them to revise their beliefs about the agent’s prospects downward. This process leads all but the worst agents to disclose their information. This theory is difficult to test in the real world because the disclosure of financial statements has been mandated at the federal level for nearly a century in U.S. capital markets. Moreover, state-level “blue sky laws” predated federal regulation and often required financial disclosure from issuers seeking to sell securities to the public in order to protect investors. The pervasiveness of disclosure mandates in capital markets should not be interpreted as evidence that unregulated markets are unable to resolve information asymmetry between issuers and investors.

In a recent paper, my co-authors and I test whether information unravel in capital markets.² To do so, we leverage the technological disruption caused by the electrification boom in the late 19th century that allowed the emergence of streetcar companies as the default urban transportation mode. Newly established streetcar companies required a large amount of capital to finance miles of tracks and cars, which created significant investment opportunities. To satisfy investor demand for information on these opportunities, business newspapers started issuing regular supplements dedicated to reporting company-specific information on almost all existing streetcar companies. Using a comprehensive sample of streetcar companies in the North East of the United States, we find that 72% of companies disclose their financial statements voluntarily in the first specialized supplement of a prominent business media, and that this rate increases rapidly to reach 95% within two years. Our findings suggest that an almost full disclosure equilibrium is reached over a short period of time.

Evidence from the 1890s streetcar industry shows that, even without mandatory disclosure requirements, public issuers facing investor demand voluntarily disclosed their financial performance. In other words, market forces can often resolve information asymmetry between issuers and investors through voluntary disclosure. Applied to the current policy debate, these findings suggest that if quarterly reporting were made optional, issuers would likely continue to provide quarterly earnings information if investors demand it, arguing that it constitutes first-order sources of information for their capital allocation decisions.

¹See notably Sanford Grossman, *The Informational Role of Warranties and Private Disclosure about Product Quality*, Journal of Law and Economics (1981) and Paul Milgrom, *Good News and Bad News: Representation Theorems and Applications*, Bell Journal of Economics (1981).

²See Thomas Bourveau, Matthias Breuer & Robert Stoumbos, *Learning to Disclose: Disclosure Dynamics in the 1890s Streetcar Industry*, Review of Financial Studies (2025).

(2) Earnings information generate externalities in capital markets so the Commission should maintain quarterly reporting for all SEC-registered issuers

The argument holds that market forces lead companies to provide investors with the optimal amount of information on an individual basis. However, the total amount of disclosure produced by market forces may be insufficient, because information disclosure generates externalities that companies do not internalize. As a result, the overall level of financial disclosure is likely to be too low.

This argument appears quite weak for several reasons:

- It is admittedly very challenging to provide rigorous evidence that disclosure mandates correct a market failure due to the presence of market-wide externalities. However, studies based on European private companies fails to find evidence that reporting mandates unambiguously improve the efficiency of resource allocation in the economy.³
- The market-wide information loss will be a function of the portion of issuers that will switch to semi-annual reporting along with their relative importance for systemic risk in capital markets. This information loss will likely remain limited:
 - Disclosure choices are known to be sticky, suggesting that most issuers will continue to file 10-Q filings or become hybrid reporters that provide some voluntary financial information during the first and third quarter.⁴
 - Issuers that would choose to report semi-annually are likely those for whom the benefits of quarterly reporting are minimal. Capital market benefits tend to be lower for issuers operating mature businesses with stable economic performance, where more frequent updates provide little new information to market participants. As a result, the market-wide information loss from these issuers would likely be limited.
 - Issuers that would choose to report semi-annually are likely those for whom the costs of quarterly reporting are highest. Preparation costs are proportionally greater for smaller issuers, and the opportunity costs of preparing reports are higher for high-growth companies.⁵ However, smaller high-growth issuers represent only a small portion of the value-weighted capital market, further limiting any potential market-wide information loss.

³See notably Matthias Breuer, *How Does Financial-Reporting Regulation Affect Industry-Wide Resource Allocation?*, Journal of Accounting Research (2021).

⁴On the stickiness of reporting choices, see for example Shane Heitzman, Charles Wasley, and Jerold Zimmerman, *The joint effects of materiality thresholds and voluntary disclosure incentives on firms' disclosure decisions*, Journal of Accounting and Economics (2010).

⁵Proprietary costs constitute another form of reporting cost. However, it is unclear whether delaying the release of a company's overall profitability by three months would significantly reduce the extent to which competitors can learn from that information. This would unlikely be the case for issuers with very stable business model but could happen for early-stage companies at the time when their revenues start growing exponentially.

(3) The potential benefits of a flexible reporting regime

I would like to highlight two potential benefits from the proposed amendment to make quarterly reporting optional:

- Carefully quantifying the compliance costs of reporting and auditing regulations for SEC-registered public issuers has proven challenging. By introducing a flexible reporting regime, the Commission would allow issuers to reveal their preferences, making it possible to observe how many view the switch to semi-annual reporting as beneficial (i.e., when the costs of quarterly reporting outweigh the benefits). Tracking the number of issuers that switch and analyzing their economic characteristics could provide valuable insights for the Commission in considering further efforts to simplify the reporting regime for SEC registrants.
- The Commission must balance investor protection with the goal of facilitating capital formation. The economic analysis of the proposed amendment indicates that, relative to the overall size of U.S. capital markets, the aggregate cost savings from reduced reporting frequency would be modest, suggesting only a limited impact on capital formation at the market level. However, these cost savings could be much more significant for smaller, high-growth issuers, for whom compliance costs represent a larger burden. Allowing such firms to opt out of quarterly reporting may enable them to better focus on their core business activities. A reduction in reporting frequency for some issuers does not necessarily mean diminished investor protection. Investor protection is achieved through both reporting requirements and the SEC's direct oversight activities. To maintain robust investor safeguards while easing the burden on issuers for whom quarterly reporting is especially costly, the Commission could reallocate its oversight resources to focus more closely on those issuers that choose to report less frequently. In other words, the Commission could incorporate issuers' chosen reporting frequency into its risk-based oversight framework, ensuring that limited resources are targeted where the potential risks to investors are greatest.⁶

Sincerely,

A handwritten signature in black ink, appearing to be 'T. Bourveau', with a stylized 'B' and a trailing flourish.

Thomas Bourveau

⁶This point echoes recent findings from Chinese capital markets, where the financial regulator allowed issuers to choose between increasing dividend payouts to protect minority investors or providing additional communication. The regulator then intensified its direct monitoring of issuers that opted for increased communication rather than higher dividends. See Thomas Bourveau, Xingchao Gao, Rongchen Li and Frank Zhou, *Comply-or-explain regulation and investor protection*, *Journal of Accounting and Economics* (2025).